

Plaintiff Luis Barrera brings this employment discrimination action against Timberworks Construction, Inc., Timberworks Construction, LLC, and Osvaldo Garcia. By this Motion, Defendants seeks sanctions pursuant to Code of Civil Procedure section 128.7, to dismiss the complaint and award attorneys' fees and costs to Defendants. It should be noted that Plaintiffs' counsel has a pending motion to be relieved as counsel, set for after this date.

Background

Prior to filing this lawsuit, Plaintiff engaged in negotiations with Defendants. Defendants aver that on multiple occasions, they transmitted to counsel a release from Plaintiff's workers compensation matter, purporting to release the claims at issue here. For that reason, they argue that Plaintiff's complaint is frivolous, as it is subject to a settlement agreement about which he knew prior to filing.

Plaintiff acknowledges the existence of this settlement agreement but argues that, for reasons the Court will not fully evaluate today, it does not extend to the matters in this case. A brief summary of their arguments is that the release is ambiguous as to discrimination claims, especially in the context of the Workers' Compensation process and paperwork, and that it lacked adequate consideration.

Analysis

California Code of Civil Procedure section 128.7 permits the imposition of sanctions where a pleading is filed for an improper purpose or is "indisputably without merit, either legally or factually." (*Guillemin v. Stein* (2002) 104 Cal.App.4th 156, 168.) The statute applies an objective standard: "A claim is objectively unreasonable if any reasonable attorney would agree that [it] is totally and completely without merit." (*Id.*) This is not a situation where Defendants argue that there is no *factual* support for Plaintiff's claims; instead this motion involves an argument that he is barred from bringing the claims because of a release he signed.

Although Defendants did nominally place the scope of the release before the Court in the context of this motion, there is certainly insufficient information for the Court to determine—on this record and in this procedural posture—that there is no merit to Plaintiff's assessment that the release is capable of multiple interpretations. Plaintiff is not pretending the release does not exist; instead he is prepared to argue that it does not bar his claims. Regardless of the ultimate merits of that argument, it is not facially frivolous.

In Reply, Defendants question the veracity of Plaintiff's counsel's arguments about having analyzed the release for three reasons: (1) emails after the Safe Harbor notice was filed suggest that counsel was still confirming the document with the client; (2) counsel represented at the September 15, 2025 Case Management Conference that he had never seen the Release; and (3) the release was not pled in the complaint. The Court reads the email language as ambiguous and subject to interpretations consistent with a review of the release *language* but representing investigation on other aspects. The Court does not have a transcript of the Case Management Conference and does not know what exactly was said, but if Counsel represented that he had not seen it, that representation would be troubling. It is not, however, dispositive absent further discussion, which is missing. Finally, it is not required for a plaintiff to plead around the release.

For that reason, terminating sanctions are inappropriate. Defendants' Motion is **denied**.

8. 9:00 AM CASE NUMBER: C25-02433
CASE NAME: FTX RECOVERY TRUST, VS. ARMANINO LLP
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF COMPLAINT**
FILED BY: ARMANINO LLP
TENTATIVE RULING:

Off Calendar. (See Joint Notice of Settlement filed 4/22/26.)

9. 9:00 AM CASE NUMBER: C25-02433
CASE NAME: FTX RECOVERY TRUST, VS. ARMANINO LLP
HEARING ON DEMURRER TO: PLAINTIFF'S COMPLAINT (TO BE FILED BY DEFENDANTS AS THEY STIPULATED)
FILED BY:
TENTATIVE RULING:

Off Calendar. (See Joint Notice of Settlement filed 4/22/26.)

10. 9:00 AM CASE NUMBER: C25-02730
CASE NAME: TADEUSZ WYRZYKOWSKI VS. CSW CONSTRUCTION GROUP
***HEARING ON MOTION IN RE: SET ASIDE DEFAULT**
FILED BY: CSW CONSTRUCTION GROUP
TENTATIVE RULING:

Before the Court is Defendant CWS Construction Group's Motion to set Aside Default.

Procedural History

Plaintiff filed his Complaint on September 29, 2025. The operative First Amended Complaint (FAC) was filed on October 20, 2025. On December 1, 2025, Defendant filed a Declaration of Demurring Party in Support of Automatic Extension. On December 8, 2025, Plaintiff filed a Proof of Service of Summons that asserts that the summons, complaint, and FAC were personally served on Defendant on October 18, 2025.

On January 20, 2026, Plaintiff filed a Request for Entry of Default on the Complaint filed on September 29, 2025. The Default was entered that same date. On January 23, 2026, Defendant filed the instant motion to set aside.

The Court's docket shows Plaintiff filed her Opposition on March 20. No proof of service has been filed, however. Proof of service of papers must be filed with the Court at least five days prior to the hearing. (Cal. R. Ct. 3.1300(c).) Defendant on Reply notes that it was not served with the Opposition.